

Question 1

Question ID: 1575142

For private equity investors, which of the following would be *most likely* to benefit the limited partners at the expense of the general partner?

A) A fund-by-fund rather than a whole-of-fund waterfall provision.



B) A hard hurdle rate rather than a soft hurdle rate of the same amount.



C) Management fees based on committed capital rather than assets under management.



Explanation

With a hard hurdle rate, incentive fees to the GP are only on gains above the hurdle rate. With a soft hurdle rate, incentive fees to the GP are paid on the full amount of the gain, as long as the hurdle rate is exceeded. A fund-by-fund waterfall structure, and basing fees on committed capital rather than only on capital that has actually been invested, both benefit the GP rather than the limited partners. (Module 78.1, LOS 78.c)

Related Material

SchweserNotes - Book 5

Question 2

Question ID: 1575143

A hedge fund with a 2 and 20 fee structure has a hard hurdle rate of 5%. If the incentive fee and management fee are calculated independently and the management fee is based on beginning-of-period asset values, an investor's return after fees over a period during which the gross value of the fund has increased 22% is *closest* to:

A) 16.4%.



B) 16.6%.



C) 17.0%.



Explanation

The management fee is 2% of the beginning asset value, which reduces an investor's gross return by 2% to $22 - 2 = 20\%$. The incentive fee is 20% of the excess gross return over the hurdle rate, or $0.20(0.22 - 0.05) = 3.4\%$. The investor return net of fees is $22\% - 2\% - 3.4\% = 16.6\%$. (Module 79.1, LOS 79.b)

Related Material

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Question 3

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An investor in a private investment in public equity (PIPE) transaction is *most likely* to:

A) be given the opportunity to purchase securities in an auction.



B) pay a premium to the market price.



C) receive either existing or newly issued common stock.



Explanation

In a PIPE transaction, either newly issued common stock, or shares sold by existing stockholders (or both) in an already-traded public company are made available to certain investors. These investors commit to purchase securities at a fixed price, which is normally a discount to the market price. (Module 80.1, LOS 80.a)

Related Material

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Question 4

Question ID: 1575145

The type of real estate index that *most likely* exhibits sample selection bias is:

A) REIT index.



B) appraisal index.



C) repeat sales index.



Explanation

A repeat sales index includes prices of properties that have recently sold. Because these properties may not be representative of overall property values (may be biased toward properties that have declined or increased the most in value of the period), there is the risk of sample selection bias. An appraisal index or a REIT index is generally constructed for a sample of representative properties or REIT property pools. (Module 81.1, LOS 81.b)

Related Material

[SchweserNotes - Book 5](#)

Question 5

Question ID: 1575146

The type of investment *most* often used to gain exposure to commodity prices is a portfolio of:

A) derivative securities.



B) physical commodities.



C) commodity producing companies.



Explanation

The most commonly used instruments to get exposure to commodity prices are commodity derivative securities, such as futures contracts. (Module 82.1, LOS 82.b)

Related Material

[SchweserNotes - Book 5](#)

Question 6

Question ID: 1575147

A hedge fund that engages primarily in distressed debt investing and merger arbitrage is *best* described as using:

A) a macro strategy.



B) an event-driven strategy.



C) a relative value strategy.



Explanation

Event-driven strategies attempt to capitalize on unique events or opportunities such as distressed debt or mergers and acquisitions. Relative value strategies involve taking long and short positions in related securities to exploit pricing inefficiencies. Macro strategy funds make directional trades on markets, currencies, interest rates, or other factors. (Module 83.1, LOS 83.b)

Related Material

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Question 7

Question ID: 1575148

Reported alternative investment index returns are *most likely* biased upward by:

A) both survivorship bias and backfill bias.



B) survivorship bias, but not backfill bias.



C) backfill bias, but not survivorship bias.



Explanation

Both survivorship bias (failure to include funds that ceased to exist over the sample period) and backfill bias (adding past results to historical index returns for funds that are added to the index) tend to bias alternative investment index returns upward. (Module 83.1, LOS 83.c)

Related Material

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Question 8

Question ID: 1575149

Under both the proof of work (PoW) and proof of stake (PoS) consensus protocols, it is *most likely* that participants who validate transactions will:

A) be rewarded with a new digital asset.



B) pledge capital to vouch for the block's validity.



C) use powerful computers to solve complex algorithms.



Explanation

Under both consensus protocols, the validation of transactions comes with rewards: participants who validate a transaction are given a new digital asset. Under the PoW protocol, miners use powerful computers to solve complex algorithms. Under the PoS protocol, validators must pledge capital to vouch for the block's validity. (Module 84.1, LOS 84.a)

Related Material

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